CENTRAL GOODS AND SERVICES TAX ACT, 2017

CHAPTER V - ELIGIBILITY AND CONDITIONS FOR TAKING INPUT TAX CREDIT

Section 16: Eligibility and conditions for taking input tax credit

(1) Every registered person shall, subject to such conditions and restrictions as may be prescribed and in the manner specified in section 49, be entitled to take credit of input tax charged on any supply of goods or services or both to him which are used or intended to be used in the course or furtherance of his business.

(2) Notwithstanding anything contained in this section, no registered person shall be entitled to the credit of any input tax in respect of any supply of goods or services or both to him unless-

(a) he is in possession of a tax invoice or debit note issued by a supplier registered under this Act;

(b) he has received the goods or services or both;

(c) subject to the provisions of section 41, the tax charged in respect of such supply has been actually paid to the Government

(d) he has furnished the return under section 39.

Official Source: Central Board of Indirect Taxes and Customs (CBIC), Government of India.
URL: https://cbic-gst.gov.in/pdf/cgst-act-2017.pdf